Credit memo: PROCTER & GAMBLE Co

Fiscal year ending 2026-06-30 · generated 2026-11-04T22:41:26Z · writer template

ANALYST REVIEW REQUIRED — decision support only; not a rating, not a probability of default, not a lending decision.

Executive view

PROCTER & GAMBLE Co is assessed for a USD 100m 5-year floating-rate bullet facility at an all-in coupon of 6.0%, to fund capital expenditure.[1–6] This memo summarises the financial profile for the fiscal year ending 2026-06-30 from SEC 10-K XBRL filings, a neural stress screen and mechanical stress tests.[7–8] It supports analyst judgement and makes no lending decision.

Business and financial profile

Revenue was USD 87,032m, up 3.3% year on year.[9–10] EBITDA, approximated as operating income plus depreciation and amortization, was USD 22,908m, a margin of 26.3%, against 27.6% a year earlier.[11–13] Operating cash flow of USD 19,556m covered capital expenditure of USD 4,409m, leaving simple free cash flow of USD 15,147m.[14–16] Gross debt stood at USD 34,136m and cash at USD 9,942m, for net debt of USD 24,194m.[17–19] Net debt / EBITDA was 1.06x and EBITDA / interest 26.12x.[20–21]

Credit strengths

Leverage is moderate, with net debt / EBITDA of 1.06x.[20] Interest is comfortably covered, with EBITDA / interest of 26.12x.[21] The business generated positive free cash flow of USD 15,147m.[16]

Key risks

The current ratio of 0.68x is below one, so current liabilities exceed current assets.[22] Reported cash includes restricted cash that the filing does not separate, so net debt and net debt / EBITDA may be understated.[23] Some inputs were derived or approximated (1 data warnings); see the evidence appendix.[24]

Risk model

The neural stress screen puts the chance that next year's accounts show financial stress at 1.0%, in the low screening band.[25–26] The largest contributions came from operating cash flow to assets (lowering the score) and company size (lowering the score).[27–28] On held-out years the model reached a precision-recall AUC of 0.805, against 0.825 for an XGBoost benchmark.[29–30] The screen is an indicator of accounting stress, not of default, and is one input to analyst judgement.

Proposed facility and stress cases

After the facility, gross debt rises to USD 34,236m and net debt / EBITDA moves to 1.06x, with EBITDA / interest at 25.94x.[31–33] In the downside case (EBITDA -20%, rates +200 bp) net debt / EBITDA reaches 1.33x and EBITDA / interest falls to 20.71x.[34–36] In the severe case (EBITDA -35%, rates +400 bp) net debt / EBITDA reaches 1.63x and EBITDA / interest 16.79x.[37–39] In the analyst's own case (EBITDA -10%, rates +100 bp) net debt / EBITDA is 1.18x and EBITDA / interest 23.32x.[40–42] Against a maximum net debt / EBITDA of 3.50x, headroom is 2.44x in the base case and 2.17x in the downside.[43–45] Against a minimum EBITDA / interest of 3.00x, headroom is 22.94x in the base case and 17.71x in the downside.[46–48] Proceeds spent on capex or acquisitions are assumed to add no EBITDA.

Credit considerations and diligence questions

Is a maximum net debt / EBITDA covenant of 3.50x appropriate given the downside headroom?[43] How much of the existing debt is floating-rate, and is it hedged? Does operating income include one-off items that an

adjusted EBITDA would remove? Close the data gaps listed in the appendix before committee.

Assumptions (analysis snapshot c26b8f2d6f13)

Input	Value
Baseline (credit basis)	EBITDA USD 22,908.0m, gross debt 34,136.0m, cash 9,942.0m, interest 877.0m
Cash basis	combined not separable
Facility	USD 100.0m, 5-year, floating at 6.00%, repayment 0.0m a year
Use of proceeds	capex
Existing debt at floating rate	0.00%
Covenants	max net debt / EBITDA 3.50x; min EBITDA / interest 3.00x
Case: Base	EBITDA +0%, rates +0 bp
Case: Downside	EBITDA -20%, rates +200 bp
Case: Severe	EBITDA -35%, rates +400 bp
Case: Your case	EBITDA -10%, rates +100 bp
Snapshot	c26b8f2d6f13 (loan engine v1.1.0, snapshot format v1)

Evidence appendix

#	Item	Value	Source
1	Borrower	PROCTER & GAMBLE Co	SEC XBRL companyfacts
2	Facility amount	USD 100m	Analyst input in the loan lab
3	Tenor	5-year	Analyst input in the loan lab
4	Structure	floating-rate bullet	Analyst input in the loan lab
5	All-in coupon	6.0%	Analyst input in the loan lab
6	Use of proceeds	capital expenditure	Analyst input in the loan lab
7	Fiscal year end	2026-06-30	SEC XBRL companyfacts
8	Data source	SEC 10-K XBRL filings	SEC XBRL companyfacts
9	Revenue (2026)	USD 87,032m	10-K XBRL Revenues, accession 0000080424-26-000103, filed 2026-08-04
10	Size of revenue change	3.3%	Formula |revenue_t / revenue_t-1 - 1| (v1.0.0)
11	EBITDA (approx.) (2026)	USD 22,908m	Formula operating_income + depreciation_amortization (v1.0.0)
12	EBITDA margin (2026)	26.3%	Formula ebitda / revenue (v1.0.0)
13	EBITDA margin (2025)	27.6%	Formula ebitda / revenue (v1.0.0)
14	Operating cash flow (2026)	USD 19,556m	10-K XBRL NetCashProvidedByUsedInOperatingActivities, accession 0000080424-26-000103, filed 2026-08-04
15	Capital expenditures (2026)	USD 4,409m	10-K XBRL PaymentsToAcquirePropertyPlantAndEquipment, accession 0000080424-26-000103, filed 2026-08-04
16	Free cash flow (CFO – capex) (2026)	USD 15,147m	Formula cfo - capex (v1.0.0)
17	Gross debt (2026)	USD 34,136m	Formula short_term_borrowings + current_maturities_ltd + long_term_debt_noncurrent (v1.0.0)
18	Cash and equivalents (2026)	USD 9,942m	10-K XBRL CashCashEquivalentsRestrictedCashAndRestrictedCashEquivalents, accession 0000080424-26-000103, filed 2026-08-04
19	Net debt (2026)	USD 24,194m	Formula gross_debt - unrestricted_cash (v1.0.0)
20	Net debt / EBITDA (2026)	1.06x	Formula net_debt / ebitda (v1.0.0)

#	Item	Value	Source
21	EBITDA / interest (2026)	26.12x	Formula ebitda / interest_expense (v1.0.0)
22	Current ratio (2026)	0.68x	Formula current_assets / current_liabilities (v1.0.0)
23	Cash basis	includes restricted cash that the filing does not separate	Data-quality checks (R5: only a combined cash-and-restricted-cash total is tagged)
24	Data-quality warnings	1	Data-quality checks
25	Next-FY accounting-stress probability	1.0%	Neural stress model stress_mlp_v1; inputs as of 2026-08-04
26	Screening band	low	Neural stress model stress_mlp_v1; inputs as of 2026-08-04
27	Model driver 1	operating cash flow to assets (lowering the score)	Neural stress model stress_mlp_v1; inputs as of n/a
28	Model driver 2	company size (lowering the score)	Neural stress model stress_mlp_v1; inputs as of n/a
29	Model held-out PR-AUC	0.805	Frozen test-window evaluation (model card)
30	XGBoost benchmark PR-AUC	0.825	Frozen test-window evaluation (model card)
31	Base case gross debt	USD 34,236m	Loan engine v1.1.0, Base case
32	Base case net debt / EBITDA	1.06x	Loan engine v1.1.0, Base case
33	Base case EBITDA / interest	25.94x	Loan engine v1.1.0, Base case
34	Downside case assumptions	EBITDA -20%, rates +200 bp	Loan engine v1.1.0, Downside case
35	Downside case net debt / EBITDA	1.33x	Loan engine v1.1.0, Downside case
36	Downside case EBITDA / interest	20.71x	Loan engine v1.1.0, Downside case
37	Severe case assumptions	EBITDA -35%, rates +400 bp	Loan engine v1.1.0, Severe case
38	Severe case net debt / EBITDA	1.63x	Loan engine v1.1.0, Severe case
39	Severe case EBITDA / interest	16.79x	Loan engine v1.1.0, Severe case
40	Your case assumptions	EBITDA -10%, rates +100 bp	Loan engine v1.1.0, Your case case
41	Your case net debt / EBITDA	1.18x	Loan engine v1.1.0, Your case case
42	Your case EBITDA / interest	23.32x	Loan engine v1.1.0, Your case case
43	Covenant: maximum net debt / EBITDA	3.50x	Analyst input in the loan lab
44	Base case headroom (max net debt / EBITDA)	2.44x	Loan engine v1.1.0, Base case
45	Downside case headroom (max net debt / EBITDA)	2.17x	Loan engine v1.1.0, Downside case
46	Covenant: minimum EBITDA / interest	3.00x	Analyst input in the loan lab
47	Base case headroom (min EBITDA / interest)	22.94x	Loan engine v1.1.0, Base case
48	Downside case headroom (min EBITDA / interest)	17.71x	Loan engine v1.1.0, Downside case

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